

Win	Lose	Lose	Win	Win	Lose	Lose	Lose	Win	Lose	Win	Lose	Win	Win
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FIGURE 8.2 Sample Distribution of the Random Outcome Sequence in “The Illusion of Control: What’s Luck Got to Do with It?”
Source: Andrea Breinholt and Lynnette A. Dalrymple, “The Illusion of Control: What’s Luck Got to Do with It?” *The Myriad: Westminster College Undergraduate Academic Journal* (Summer 2004).

did not wager more or less, on average, than did participants allotted the random outcome sequence. In contrast, in the high-involvement condition, high-DFC participants wagered more than did low-DFC participants. These findings support the presence of an illusion of control phenomenon in the traditional sense.

This study clearly demonstrates the illusion of-control bias in practice. Investors are very much susceptible to this bias.

Implications for Investors

Below we list four primary behaviors that can lead to investment mistakes by investors who are susceptible to illusion of control bias.

ILLUSION OF CONTROL BIAS: BEHAVIORS THAT CAN CAUSE INVESTMENT MISTAKES

1. Illusion of control bias can lead investors to trade more than is prudent. Researchers have found that traders, especially online traders, believe themselves to possess more control over the outcomes of their investments than they actually do. An excess of trading results, in the end, in decreased returns.⁴
2. Illusions of control can lead investors to maintain underdiversified portfolios. Researchers have found that investors hold concentrated positions because they gravitate toward companies over whose fate they feel some amount of control. That control proves illusory, however, and the lack of diversification hurts the investors’ portfolios.
3. Illusion of control bias can cause investors to use limit orders and other such techniques in order to experience a false sense of